



Figure 66.5 The symmetrical triangle on the left has an upward breakout that fails to rise by more than 5%. The triangle is a 5% failure. The triangle is part of a double or triple top. The pattern on the right does not have enough trendline touches to be valid.

However, the higher high forming as part of the throwback to the triangle apex (late March) could form a larger triple top (the early January high, triangle high, and March peak). Once price tumbles below the low formed between the three peaks, a triple top is confirmed and price heads down, pulling back briefly (twice) to just above the formation low before continuing down.

The February/March triangle is a valid symmetrical triangle, even though a triple top develops around it.

The triple top (overhead resistance, really) explains why this triangle fails. The triangle breaking out upward instead of downward in this situation is suspicious because of the overhead resistance set up by the prior peaks.